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EDITED TRANSCRIPT

**Q1 2025 UNITED OVERSEAS BANK LTD TRADING UPDATE
PRESENTATION**

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An LSEG Business



CORPORATE PARTICIPANTS

- **Ee Cheong Wee** *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*
- **Yung Chee Leong** *United Overseas Bank Ltd - Group Chief Financial Officer*

PRESENTATION

Unidentified Company Representative

(audio in progress) Mr. Wee will first give a broad overview of how our franchise has performed and the operating landscape we are in. Mr. Leong will then go into more details on the financials and business performances from this quarter.

After both our presentations, we'll be taking questions from the media. (Conference Instructions) I would now like to invite CEO to get us started, Mr. Wee, please.

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

Good morning. Thank you for joining us today. Since we last spoke, the global outlook has changed significantly. The world order has been restructured by US tariff.

While it is too early to quantify the exact impact, we expect growth to slow in near term. Amid uncertainties the long-term fundamentals of ASEAN remain attractive. The region's competitive advantage in manufacturing and commodities will help ensure a relevant role as global supply chain revive.

Trade flows within ASEAN and between ASEAN and the rest of the world will continue to grow as countries seek new ways to prosper. While the road ahead may not be smooth, it will be, we are prepared. We have strong balance sheets, capital and liquidity, it could reserve buffer to navigate this uncertain times. Our diversified earnings base continues to provide stability across economy and market cycles.

In the first quarter of this year, UOB delivered a solid performance. Net profit was stable year-on-year at SGD1.5 billion. Growth was broad based, supported by resilient income from learning, record fees, and higher trading and investment income. Our asset quality is healthy.

With strong earnings this quarter, we are taking a conservative approach to increase our reserve given the uncertainties. We have been reshaping our business franchise with diversified client segments and product techniques across our key markets.

In the first quarter, we saw healthy demand across sectors and geographies, which boosted our loan books. Our loans grew 6% year on year. Net fee income rose 20% year on year, led by record investment banking news, strong growth in loan-related and well activities.

Our wealth management business saw good tractions. Most of our clients adopt conservative investment strategies with a focus on wealth preservation. We see higher inflows into our discretionary portfolio management solutions, reflecting client trust in our ability to help them navigate market volatility. We will name best private bank for DPM, Asia and Singapore at the Euromoney Private Banking Awards for this year.

This quarter, we also won several other prestige awards. Global Finance named us as the best bank in Asia Pacific for a second year. We were also named Best Bank in Asia. Separately, the Asian Banker named us as the best SME bank in Singapore 2025. And we are encouraged by these recognitions and will continue to focus on supporting our customers in these volatile times.

Looking ahead, the external environment is still fluid. We will resume guidance when the situation stabilizes. However, we remain committed to our \$3 billion capital distribution plan. We had already commenced share buyback and the first tranche of \$0.25 special dividend has been paid.

Despite uncertainties, we see pockets of opportunities across our diversified portfolio. Trade flows in China, ASEAN, and intra-ASEAN corridors are about USD1.5 trillion and growing, trend that we expect to continue. We are well positioned to capture the flows from this structural ship. In fact, most of our trade finance lending continue to be done within the region, reflecting strong intra-regional activities.

In the research survey, UOB conducted with 800 businesses in ASEAN and Greater China, two in three businesses expecting to have ASEAN treatment to increase due to US tariff. They are planning to diversify sourcing to within their own countries or in the region. There is also a growing demand for hedging from our clients and in current market volatilities. Meanwhile, we have a healthy pipeline of quality financing for infrastructure projects.

This is not the first time that we have experienced volatilities and external shocks. We are confident in our ability to navigate the challenges just like we have done before in the past 90 years. We are fully committed to working closely with government and industry players to support our customer through this extraordinary times. Now I will hand over to our new CFO, Yung-Chee Leong to share more.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Thanks, Ee Cheong. Good morning, everyone. I will take you through the financial updates for us. If you look at our first quarter results for 2025, there was overall a strong quarter. We had broad-based income and franchise store.

The net profit was SGD1.5 billion for this quarter with ROE at 12.3%. The net interest margin was stable at 2% and it was contributed by proactive balance sheet management, despite margin pressures.

Our net fee income grew to a new high of SGD694 million. This was largely driven by record loan fees from higher investment banking revenues that CEO mentioned, as well as momentum in our wealth and card businesses.

On treasury and investment income, we grew by 27% quarter on quarter. This came from strong activities from our clients and also relatively good performance in our trading and liquidity management activities.

Asset quality remained stable with NPL ratio at 1.6%. And again, as CEO mentioned, given the macro uncertainties, we took a prudent stance to increase our general allowances to strengthen provision coverage, resulting in a total credit cost rising to 35 basis points this quarter.

We are approaching the volatilities in the market from a very strong capital and funding position. However, our CET ratio remains at 15.5% and NSFR at 116%.

On this page, we can spend a little bit more time to go into detail around the operating profits. We have increased the operating profit by 11% quarter on quarter and 7% from a year ago. However, as we set aside higher preemptive allowances, the net profit after tax declined 2% quarter on quarter but stable year on year.

Next, I'll go into the business segments in a bit more detail for you. On the retail business, if you look at the slide, our increase in CASA demonstrates the franchise that we've been building for a while. The credit card billings and the double-digit increase in wealth income help to cushion some of the margin pressures that we saw.

The credit card billings remain robust, not just in Singapore, but throughout the region as well as we continue to create better propositions and lifestyle offerings for our customers, and in particular the customers who have onboarded with us when we consolidated into the business.

The wealth management business continues to be underpinned by a shift from deposits to investments and net new money flows coming in continue to encourage us. But it was also balanced by market dislocations in value.

Most of our clients have very balanced portfolios aligned with our focus and philosophy on wealth preservation. This resulted in minimal margin calls, despite the market volatilities that we saw in the last few weeks.

Moving to the wholesale bank, I mentioned briefly earlier on that we had record investment banking fees this quarter, double-digit trade and treasury growth.

And this has helped offset the drop in margin from declining interest rates as well as competitive pressures from peers for quality assets. We remain focused on our customer franchise and our growth engines. We continue to leverage on our strength and connectivity in the region.

The focus on our investments that we have made for the wholesale banking platforms have helped us drive positive growth for our CASA and trade loans. If you look at the CASA item in the slide, you would have seen that 8% growth in CASA continues. We generate at least 56% in terms of CASA-to-deposit mix right now. The shape of our business continues to improve.

NIM remains stable at 2%. This is by no means easy. We continue to be very active in terms of how we manage our balance sheet. The quarter-on-quarter net interest income is up by 2%, but that's also partially due to a shorter quarter.

Loan margin has been compressed due to asset pricing pressures and the softer environment in terms of rates. But through this balance sheet management, we've managed to keep our NIM stable. I mentioned briefly about our record loan fees, so we'll dive a little bit deeper (inaudible)

Investment banking fees had a good quarter. This is from participating in large syndicated deals coupled with increased loan demand. There was also good momentum in our wealth fees from robust unit trust sales and structured products, and wealth fees were generally up 30% year on year and 19% quarter on quarter.

Card billings also grew year on year, like compared to a quarter ago, there is a seasonal differentiation. The fourth quarter usually is higher.

Trading and investment income was underpinned by our customer treasury income rising to SGD243 million this quarter. This was an increase of 11% from a year ago and 13% from the last quarter. It was spurred largely by retail structured products demand.

Our own trading and liquidity management activities have also continued to perform well, and we [have benefited] from bond sales as well as trading opportunities in the volatile market environment.

In terms of expenses, we've managed to maintain the stance on our disciplined spending, and cost-to-income ratio has improved to 42.6% this quarter. While we continue to focus on investments to build up capabilities in the region, the high cost discipline is something that we will continue to maintain, especially as we head into the volatile environment.

For non-performing assets, it remains sound with an NPL ratio at 1.6%. The new NPA formation has been stable and within expectations. But with lower write-offs, the total NPA inched up our ratio to 1.6% this quarter.

On credit costs, we mentioned earlier on that because of the uncertainties in the macro environment, we have preemptively added to our general allowances this quarter, bringing the total credit cost to 35 basis points. It is important to note that this increase was something that we've done by taking a very prudent stance to strengthen our provision coverage going into the environment.

On the next page, it shows you the allowance coverage. Our total allowance as at March was SGD4.8 billion, of which SGD2.8 billion relates to allowances for non-impaired assets. Overall, our coverage remained adequate at 90% or 207% after taking collaterals into account.

Next, we move to look at our loans growth. So, year on year, overall loans growth at 6% and 1% quarter on quarter. The same quantum of growth was seen both in the wholesale as well as retail businesses.

The momentum is sustained well. We have broad-based growth and in the wholesale side has been termed in trade. On the retail side, mortgages.

We do want to remain vigilant and selective in our lending given the outlook, but we remain very committed to supporting our customers through these times.

On our funding positions, I mentioned at the start that we are approaching this with a strong capital funding and liquidity position. From here you can see that our LCR remained sound at 143%, NSFR at 116%, both of which are well above the minimum regulatory requirements.

Our CASA deposits continues to grow steadily. And I've mentioned earlier on, the mix of our CASA continues to help us shape the funding mix into something which is helpful in terms of managing our cost of funding.

On the next page, our capital position remains strong at 15.5% or fully loaded at 15.4%. And again, this allows us to remain very confident in terms of how we go into the next quarter. With that, I end the presentation in terms of financials. (inaudible)

QUESTIONS AND ANSWERS

Unidentified Company Representative

(Conference Instructions)

Unidentified Analyst

Hi, [Jenny] from Bloomberg. Back to what the CEO said at the beginning about wealth flows that boosted AUM, what was the net new money?

Second question also on your desk view about hedging by customers. Could you comment and provide colors on what exporters and importers do during this volatility?

Third question on USD assets at UOB, including your asset management. I mean with this steep dollar decline, especially against SGD, which is your currency, what I mean.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I take that first. I think on the US dollar assets, it's remains actually a very small part of our portfolio. The securities portfolio in US dollars are mainly for HLAB and for government securities. So we have not disclosed that in terms of the actual numbers. I think that hopefully addresses the first question. I think the first -- the second question.

The first question was around net new money. Now, net new money flows into our private bank was actually negated by market action. So net-net, it was flat. If you look at the AUM numbers that were communicated, it's about SGD189 billion. It's flat quarter to quarter.

Unidentified Analyst

Because of market?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

We had net new money flows, but market action offset that. So it's flat.

Unidentified Analyst

The first question is about actions by hedging by exporters and importers.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Can you perhaps repeat?

Unidentified Analyst

I will repeat, yes. So what are you -- you mentioned that clients have higher demand on hedging. Is it FX? And could you say specifically, have your clients -- particularly exporters and importers, had that adequately hedged before the currency volatility? And if they didn't do it sufficiently, what are they doing now?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think we've seen customer activities, and I think the slide that I showed earlier on our treasury and connectivities, you have seen very helpful pickup. If your question is with respect to more recent, in terms of (inaudible) those activities have continued. I think we see a lot of customers frontloading some of the activities.

If you are looking at treasury in terms of interest rate and FX hedging activities, those activities have continued. It's not unusually higher than normal, but you see many of our customers continuing their business activities as stable as they can, because the uncertainties around the tariff situation have not picked up.

So while the general expectation was that maybe some of these may freeze up, but that has not shown up to be the case, because our businesses, our clients continue to frontload some of their activities in anticipation.

Unidentified Analyst

These are -- they have prepared.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yes.

Unidentified Analyst

Just last thing, CEO said that we will resume 2025 guidance when situation stabilizes. Do you expect stabilization within these four years from now?

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

Not a king, okay, but I'm just. But I think generally. I cannot predict what's happened. What I can tell you, what I can assure the public is we have a strong capital to (inaudible). Well, generally, tariffs, we are talking about (inaudible). They cost 10% of the total balance sheet. And the most of our (inaudible), frankly, I mean, it's more intra regional or China plus one.

So yes, we did go through a portfolio analysis, looked at some of the customers. Some of them could export to the US, maybe 20%, 30%, 40%. But I would say generally, it's quite manageable. I would say it's not really a major concern for us.

The second-order impact will be more severe. If the uncertainty continues, then it will affect consumer confidence. This is where the slowdown in the economy will come. That will be the second point. But if you talk about first-order impact, I think the trade, I think generally we are -- we've gone through the portfolio. Of course, we continue to discuss with the customer how do they want to do. It may divert certain activity within ASEAN.

So we do US. And our exposure to China is not so much. It basically will be more ASEAN.

Unidentified Analyst

Coming back to the stress test, what is the stress test that the banks do. And because I think MAS, there's an MAS-led stress test every year. So what's -- is it going to be more stringent or is that going to be a more stressful stress test?

And what's the worst case scenario? And how would it affect your capital? And what -- and will this -- and ultimately will dividends be cut by having COVID? And will your -- the capital management --

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

I think for the time being is very premature. As I said, it's still a very fluid situation. And the impact is too early to quantify. You can use your imagination, right? If you want to stretch until you want to fail the bank, right.

But I think in today's scenario, given our exposure to trade, all the customer base we have is all very well spread. I don't see too stress. But I don't think it's that severe that we have to cut dividend. We have to -- in fact, as I mentioned in my speech, we continue to grow our capital management. We are committed, it's a three-year program. We reduce our capital and we promise 50% of our dividend will be generated by that earning.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

If I elaborate a bit further, unless the news comes out, it rise to a halt across the region. Our capital positions continue to be very strong to manage what we expect to come to our first pass in terms of looking at our portfolio and potential impact, we think that's very manageable.

The stress test that we are conducting, and when you look at the second-order, potentially third-order, that's a little bit more complicated because there's so many different assumptions that have to go with. And as CEO mentioned, how stressed you want that to be. I think some of those variables, the macroeconomic variables that we need to input, I think have yet to land and depend on some of the outcomes we will see in the coming weeks and months.

Unidentified Analyst

So for you BCL1, it also depends on this MEV model the model. So, have you changed -- how much have you changed the MEV model for 1Q versus last year?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

We have not changed yet, but we are in the process of being what needs to change.

Unidentified Analyst

This is certain growth assumptions and (inaudible)

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

We know that needs to be changed.

Unidentified Analyst

So you haven't changed even your growth assumptions?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think we do have an expectation that on a broad basis that growth and trade probably will be impacted. The extent of that and where it hits, which industries, which countries, I think that's still (inaudible)

Unidentified Analyst

And finally, I realized, I think since the global financial crisis, you have this test where you must have enough HQLA for 90 days of outflows. So, have you looked -- I mean, I think your Pillar 3 says that you have that -- based on that, you have outflows. But that's on a normal situation. Do you think there would actually be those outflows?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

No, I think if you compare the current environment versus -- I think we've gone through that and we've been very well prepared for that. We do not expect even the uncertainties that we have to face in the next quarter or so that they would be as severe as what we saw during the most difficult times. Those capital positions and liquidity positions, we feel are more than sufficient and adequate to manage.

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

In fact, if you look at the whole ASEAN, right, look at the individual countries phone service interest rate risk (inaudible). So I would say relatively speaking, in fact, the favor should be more towards ASEAN now.

Unidentified Analyst

So you know this JSSE. So since April 2, Liberation Day announcement, has there been -- are people still interested? Has there been --

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

I think the feedback --

Unidentified Analyst

Has there been slow down in it?

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

I think the feedback is still quite good. And you know we are -- UOB, we are well positioned. And we are the biggest foreign bank in Malaysia. We have seven branches, (inaudible) four in SE Exec. And we signed an MOU with the Chinese Chamber of Commerce in Malaysia as well as Singapore. And we are the only bank with the Green Lane initiative with Invest Johor.

Unidentified Analyst

So what's the Green Lane --

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

Well, in other words, we help customers provide some Green Lane services, more expedited, more approval, speeding approval. So this is an arrangement we make with Johor.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's something that we tied up with Invest Johor to facilitate and accelerate some of the investments they're doing. So that coordinated approach helps to eliminate some of the bureaucracy and red tape and help businesses move there faster.

Unidentified Analyst

And are people investing and your customers actually are actually --

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

No, we have invested our foreign direct investment for the last 10 years, so there are quite a number of inquiries. And some of them are actually committed.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

The interest level and activities continue. I don't think any liberation date it's not any significant slowdown or shift seeing engagement activities.

Unidentified Analyst

Good morning. I'm interested in SMEs. I mean it's a very strong resident in the SME banking market. What are some of the concerns or worries that the clients have been sharing with you, and how is UOB advising them on this situation, right?

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

I think it's so different. We are more than happy. We are more than happy to give our response. And in fact today, together with the government and MAS, everyone is all happy to support only Singapore—all the (inaudible), all the central banks, they're all willing to support the (inaudible).

So we have to -- if we have to look at the individual credit-like customers, right? And depending on how severe. And we will apply certain business logic, certain way of structuring to help them to ease the cash flow growth.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think if you look at SMEs, those that have direct exposure to the US, there will be some. But we wouldn't underestimate how entrepreneurial and how adaptable audience and businesses. The first order which we stressed about earlier on, the direct impact to US to exports, I think that one we think is pretty manageable.

The people who supply parts direct to the US, I think that's notable. The question is the second or the third order volume. So if you supply parts to (inaudible) who then exports to US. Now when that slowdown happens, if it happens, I think that second order impact is what we're more concerned about, but the variable assumptions that goes into that, so many additional problem.

We mentioned briefly earlier around consumer confidence, job security. If some of these uncertainties cannot stress the economy in that direction, that will impact on in terms of consumer spending over the US, even consume in the domestic market. So for now, what we're seeing is that most of our book exposure is domestic intraregional. It's okay. Just second, I think that --

Unidentified Analyst

Let me just ask one more question. And you talked a lot about a lot of uncertainties and you have strong capital position still. But what does that mean? Do you still have commissions for MAS, if I can review right from the remarks. Are you proposing those ambitions are taking a --

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

(inaudible) can convert to opportunities for us. And in fact, given our connectivity strength, we are always on the book. We are running with business. Is there opportunity? Why not, answer your question.

I know this is a very motherhood statement, but if you look at the balance sheets, the capital decision that we have, I think the comfort from our existing customers, that will give them a lot of comfort to have a plan to support it. And also to the comfort to potential customers to say, this is the fact that strong, they are able to withstand. We may be able to attract potential customers.

Unidentified Analyst

I like this confidence.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Some priorities are looked at even for Citibank acquisition. It was done in the midst of COVID. So in these sort of situations you find opportunities, but you have to find opportunities that makes sense for our franchise.

Unidentified Analyst

Would you ever think of bringing back even the scripts (inaudible) that you used to have some years ago that you all stopped. I mean, why did you stopped it?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's kind of counterproductive if you're out there doing share buybacks --

Unidentified Analyst

(inaudible) ROE.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think we've reached the maturity and confidence in our capital and earnings generation. And the vessel for rules are also (inaudible). I think it gave us the confidence that some of these excess capital should go to shareholders, which was the back backdrop of the SGD3 billion mentioned. So no plans for scripted.

Unidentified Analyst

Hi, good morning. So I have a question about the forecast. I know that you, UOB will only resume the forecast until the situation stabilizes. But I remember that UOB forecast high single digit for the loan growth this year and double digit fee income growth in February, right?

So I wonder, have these two forecasted numbers changed or would that be -- would that change after the liberation tariffs?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think this comes back to the common theme. I think everybody is trying to ascertain, which is visibility, more specific around broad numbers and so on. I think the overarching sentiment is that our clients are feeling uncertain.

So if you are planning on CapEx plans, where are you going to locate the next factory? Are you ordering shipping, pre-forwarding logistics for the next 6 to 12 months? I think there's a lot of uncertainty and inability to project for it. Even if you look at some of the global companies, whether it's Apple, General Motors, Amazon, JPMorgan, everyone is suspending guidance because their visibility today is -- it's not easy.

Then the question is, amidst all this, what are the things that you can handle on is strengthen your balance sheet, look at what we can do to help the clients navigate. Many of our clients are very adaptable and entrepreneurial. They are also actively looking at if this happens, where will the trade flows go and where do they need to shift their supply chain.

So our frontliners are very actively engaging clients to assist them in doing so. Not to dodge your question. The question specifically was, were those trade projections, grow projections still intact? We are working on the assumption today on those numbers, but those numbers will have to be revised. We are not yet ready to revise those numbers.

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

Yeah. Absolutely.

Unidentified Company Representative

We have a question from online Ultra from Reuters. Could you unmute yourself and ask a question, please?

Unidentified Analyst

Thank you. This is Ultra from Reuters. First, I have two questions. The first question is basically a follow-up to China port earlier questions. But in general, how will the strengthening of the Asian currency against the US dollar, such as Singapore dollar will affect you or both positively and negatively or directly and indirectly.

And the second question is we would love to hear more on -- from your view on what changes in trade financing demand that you will be seeing from clients in a short and medium term and from this US tariff and what is your doing to help for your clients?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

The strengthening of the Sing dollar I guess against the US dollar from an importer sense, I think good but not even the export business. I think there are various elements here. The fact that Sing dollar remains strong would also mean that we would be a good center of welcoming into Singapore.

We hope to benefit from that in terms of the law of management as our businesses that we do for the retail clients. But for businesses, you're going to see a spectrum depending on whether you're more import or export driven. We are fairly well diversified in the sense that, yes, we have a large Singapore portfolio and we have a regional franchise, but we manage our businesses as much as possible to natural hedging.

The second question was around changes in trade finance demand from tariffs and what we are doing about it. Well, we mentioned briefly earlier on that trade is about 10% of our total loans portfolio. It is something that we continue to want to build.

The question was around, have we seen changes on it in the last month or so? The answer is that it remains fairly stable, but those signals carry a lot of noise in them. And it carries noise because some of these trade activities could be front loading of activities.

People are expecting that your average situation in the next few months may result in certain outcomes. So some of those front loading or export shipments and trade activities have, in terms of numbers, from our perspective, it continues to be impacted. There's no particular drop off, but there are noises in those.

Unidentified Analyst

Just to be sure, accurately, if I say fund loading means rushing to do or to send export, I think that would be.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yes.

Unidentified Company Representative

Do you have any other questions?

Unidentified Analyst

Yes, can I ask about some mortgage demand in Singapore and a demand for building and construction loans in Singapore. Has that dropped off or is that -- has that been stable or is that --?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

It's been stable but you have to look at the conversation here in this room. You're trying to compress timelines on what has happened about a month ago. Now, loans and loan growth doesn't adjust overnight like that.

People make plans for loans, they negotiate terms for loans, and the documents, so all of that takes time. So even if corporates were to slow down loan activity, people were to stop their mortgage activities and so on. The numbers flowing through will go down.

A maybe next quarter you'll see clearance, but you're talking about what actually came out on Liberation Day in early April and then multiple variations and changes to it since. Yeah, so it's probably too premature to see what those impacts will flow through in terms of [debt loss]. But on a practical aspect, these things do take time, plan and adjust their capital outlays and CapEx plan. It will take a bit more time to flow through.

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

Go back to the confidence. It takes time.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

And if you're focused on first quarter numbers because the results that we are sharing with you today this morning, first quarter numbers remain strong, quarter to quarter, year on year.

Unidentified Analyst

So was that the mortgages rise? Was that an increase in --?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Yeah, no single digits.

Unidentified Analyst

I have a question about the coverage comparison. If we compare to the COVID time, which situation is worse?

Ee Cheong Wee *United Overseas Bank Ltd (London Branch) - Deputy Chairman and Chief Executive Officer*

I already mentioned I think COVID will be worse. Well, COVID is a total shutdown. It's very different. So we've gone through all this. So again, as I said, we are more than confident to send. And we are willing to pay dividend, we are willing to have capital reduction. I don't think we need to be overly alarmed.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

If I could simplify it during COVID, you saw in certain industries, in certain countries, complete shutdown. Here you expect a slowdown and an adjustment because factories cannot be set up overnight. Even if you needed to reestablish your supply chain and manufacturing locations elsewhere, it takes time to shift.

So in the meantime, some of these activities will continue. It may come with higher costs associated and business costs associated with it, but it's not like COVID where things are just shut down. So you would see a period of volatility adjustments, but I think the severity is going to be very little.

Unidentified Analyst

Is there any situation where activity increases in ASEAN? And do you think there will be more trade or more investment into Penang and Johor, our favorite kids is you know?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

And I think the overall global pie of demand doesn't change over time unless it's consumer confidence that get impacted. Now if you look at trade flows, I think the trade flows will evolve. Countries that will be more affected by tariffs and can no longer economically -- is not economically viable to export to a particular country will find new markets.

(inaudible) businesses time to adjust. But it doesn't suddenly create global new demand. They're looking for where to shift those demands supply chains.

Unidentified Company Representative

Maybe we take one or two last questions.

Unidentified Analyst

If I may, what do you see NPA, non-performing asset. What's the ratio at the end. Now it's 1.6 or 1.5. What do you see right?

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

You're asking the same question. You're just asking it in a different way. So I think you mentioned in the height of the COVID crisis, our credit cost actually went up to about 57 basis points. We've just mentioned to you that we build it up to 35 basis points.

And that's already preemptively what we think is now. Do we need more or less, I think next quarter.

Unidentified Analyst

My question is not whether you can study it. I'm sure you can. I'm just trying to see your assessment on your client's side rather than -- if I can make it clear.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

Well, I think the NPA (inaudible) has remained stable for us, first quarter as well as (inaudible) the NPA formation numbers that came out were around clients and geographies that we already saw. We were recognizing it and provisioning for it.

There hasn't been any spike up as it sound, right? This is what we already saw, not recognizing your provision. But these are not sudden spike ups in terms of new assets and surprises or shortness. (multiple speakers)

Unidentified Analyst

In fact, your ECL suite fell, isn't it? Your SPs actually fell in the first quarter because.

Yung Chee Leong *United Overseas Bank Ltd - Group Chief Financial Officer*

I think the takeaway would be this. I think the immediate downside risk to asset quality seems manageable to us versus a good risk. That piece of work is not done. We need to look at all these stress testing and outcomes of projects and projections and forecasts. That piece of work is (inaudible)

Unidentified Company Representative

Right, if there's no further questions, thank you, everyone. And if you have any further questions or clarification, please do reach out us. Thank you.

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